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MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) Regular EXAMINATION October 2025
Third SEMESTER

Discipline Specific Core Course (DSC) - MG3DSCBST200
ENTREPRENEURSHIP AND STARTUPS
(2024 ADMISSION ONWARDS)

Duration: 2 Hours **Maximum Marks: 70**

Scheme for Valuation

Part A

*[Very Short Answer Questions. Answer **any 10 questions.***
*Each question carries **1 mark**]*
Note- Consider relevant presentations of answers.

1. Ability to recover quickly from setbacks and keep moving forward despite challenges.
2. Innovation is the process of turning an idea or invention into a useful product, service, method, or business model.
3. Bootstrapping.
4. Green Channel refer to fast-track or simplified approval mechanisms put in place by regulatory bodies.
5. Entrepreneurial journey or process.
6. Feasibility analysis (or Feasibility study).
7. Incubation, mentorship, peer to peer networking, industry collaborations, access to markets etc. (Give marks for writing any two)
8. A flagship scheme launched by Govt of India to build a strong ecosystem for nurturing innovation and startups in the country.
9. Product-as-a-Service (PaaS) model
10. The SCAMPER Checklist variable 'C – Combine'.
11. A short visual presentation of about 10 to 20 slides for presenting business idea.
12. Department for Promotion of Industry and Internal Trade (DPIIT).

Part B

*[Case Study/ Situation Analysis. Answer **any 1 question**.*
*Each question carries **30 marks**.]*

***Note:** The answers given for the questions in this section are suggestive only. Students can have different viewpoints or opinions. Contrary arguments/points/ strategies etc. shall be given due consideration based on the points presented.*

13. Answer to the questions;

Qn	*Valuation points/Answers*	*Marks*
1.	Business models: B2B: Supplies fresh mushrooms to supermarkets.; B2C: Direct selling of value-added products like mushroom pickle and powder.	***3 marks each, for any two***

Qn	Valuation points/Answers	Marks
2.	Entrepreneurial mindset qualities: Opportunity-oriented -identified potential in organic mushroom farming; Creativity - developed new value-added mushroom products; Risk taking-entered a niche organic market; Resilient- sustained and expanded despite farming challenges etc.	***Any two mindsets identified, 3 marks each***
3.	Type of Entrepreneur: Agricultural Entrepreneur - engaged in farming-based enterprise; Innovative Entrepreneur- applies organic and value-added methods	***3 marks each for any two***
4.	Marketing strategies: Segmentation: Multiple segmentations – demographic (youth, homemakers), psychographic (health-conscious, eco-friendly), and behavioural (organic product users); Targeting: Differentiated marketing – focuses on supermarkets and individual organic consumers; Positioning: as a distinct organic brand.	***3 marks each for any two strategies***
5.	Ensuring growth and sustainability: Obtain organic certification for credibility and premium pricing; Strengthen branding and digital marketing for visibility; Explore export possibilities and hotel tie-ups for consistent demand etc.	***3 marks each for any two points***

14. Answer to the questions;

Qn	Valuation points/Answers	Marks
1.	Challenges discouraging Karan: Initial funding, market acceptance, high competition in ecofriendly product market	***any two challenges, 3 marks each***
2.	Entrepreneurial traits Raj exhibited: Embrace risk and uncertainty; Initiative and proactiveness; growth mindset, creativity; opportunity-oriented thinking etc.	***award 3 marks each for any 2 traits***
3.	Karan can learn to: Start small and test the market - Like Raj, he can begin selling at college fairs, local markets, or online platforms to build initial customer interest; Use storytelling to communicate sustainability - Eco-friendly products appeal to values. Karan can share stories about the materials, the environmental impact, and his mission; Develop a niche identity - Raj didn't try to be "everything to everyone." Karan can choose a specific niche; Reinvest profits to scale gradually - Instead of big investments, he can adopt Raj's method of growing the business step by step etc.	***any two strategies, 3 marks each***
4.	Ways of funding Karan's business: Bootstrapping - start small using personal savings and reinvest initial profits—like Raj; Pre-orders and crowdfunding – advance orders, crowdfunding platforms allow customers to pay upfront before production begins; Selling at local fairs and online marketplaces - minimal investment, faster cash flow etc.	***any two funding options, 3 marks each***

Qn	Valuation points/Answers	Marks
5.	Helps stand out from competition - Unique features, design, packaging, or storytelling make the product memorable; Attracts a loyal customer base - Niche markets (e.g., eco-friendly lifestyle users) are highly loyal when the brand aligns with their values; Reduces price competition - When a product is unique, customers focus on value, not just price; Improves brand identity- strong niche presence builds credibility in the market etc.	***Any two points, 3 marks each***

15. Answer to the questions;

Qn	Valuation points/Answers	Marks
(a)	Compare Trust, Society, and Section 8 Company: Trust – Easy setup, low compliance, local operations. Society – Moderate compliance, state-level scope, democratic body. Section 8 Company – High compliance, national recognition, corporate governance, strong credibility.	***2 marks each***
(b)	Influence of CSR Funding: All three forms (Trust/Society/Section 8) can receive CSR after CSR-1 registration. However, Section 8 enjoys stronger preference among corporates for auditability and legal status. CSR access thus supports moving toward Section 8 when scale or partnerships grow.	***3 marks each for any two points. Consider other valid points also.***
(c)	Challenges in running Section 8 Company: Higher registration and annual compliance cost. Regular ROC filings, audits, and Board governance. No profit distribution; surplus must be reinvested. Needs professional (CA/CS) support.	***3 marks each for any two challenges.***
(d)	Student vs Management Concerns: Both concerns valid: students stress funding reach; management stresses simplicity. Final choice shall balance practical compliance with long-term sustainability and growth.	***Award 6 marks for any of the view supported.***
(e)	Best Option: Option 1 – Section 8 Company: Best for large-scale, high-credibility incubation with CSR, DPIIT, and national partnerships. Option 2 – Registered Society/Trust: Suitable for campus-focused or small-scale incubation; simpler to manage yet CSR-eligible via CSR-1, 12A/80G. Either form is acceptable if backed by proper compliance and sustainability plan.	***Award 6 marks for any of the options written with justification.***

Part C

*[Case Study/ Business Plan/ Project Report. Answer **any 1 question**.*
*Each question carries **30 marks**]*

***Note:** The answers given for the questions in this section are suggestive only. Students can have different viewpoints or opinions. Contrary arguments/points/ strategies etc. shall be given due consideration based on the points presented.*

16. Students shall prepare a business plan for setting up a small-scale papad making unit with the key details given in the question. The key headings/details shall contain

necessary explanations, calculations and justifications. Any other formats of business plan with the key details as given in question shall be considered.

Sl. No.	*Key details/headings*	*Marks*
1	Executive Summary	3 marks
2	*Introduction & Objectives* *Popular Indian snack, consistent household Demand etc.*	3 marks
3	*Raw Materials* *Urad dal flour, spices, salt, packaging material etc.*	3 marks
4	*Production Process* *Dough preparation, rolling, drying, packing etc.*	3 marks
5	*Machinery* *Dough kneader, rolling machine, drying racks etc.*	3 marks
6	*Manpower* *Details of manpower needed, no. of workers, supervisors, packers etc.*	3 marks
7	*Cost Estimates* *Equipment cost, rent, working capital etc.*	3 marks
8	*Financials* *Monthly production, profit margin, break-even period etc.*	3 marks
9	*Marketing* *Local grocery stores, wholesale distributors, online B2B and the like.*	3 marks
10	*Conclusion* *Low-cost, high-demand product with expansion potential etc.*	3 marks

17. Students are required to prepare a business plan by addressing Qn1-4 and prepare an elevator pitch (Qn. 4 &5).

The valuation points and marks are as follows;

Business Plan Structure (Award 6 Marks)

If the answer includes a basic structure of a business plan — such as Executive Summary, Product/Service Description, Market Plan, Operational Plan, Financial Plan, and Organisational Setup — full marks can be awarded.

(Credit can also be given for mentioning problem statement, marketing and sustainability focus.)

Award marks (as given below) if questions 1 to 4 are addressed in the business plan or answered separately.

1. ***Issue Solved (4 Marks)***
   Provides an alternative to expensive branded cleaners and helps reduce plastic waste by reusing bottles — addressing both cost and environmental concerns.
2. ***Safe Solution (4 Marks)***
   Uses non-toxic, biodegradable ingredients that are safe for humans and surfaces. Recycled packaging supports eco-safety and sustainable consumption.
3. ***Target Market & Reach (2 marks each, Max. 4 Marks)***
   Target Market: Households, hostels, restaurants, and small offices.
   Reach: Local retail outlets, campus stalls, eco-fairs, door-to-door awareness drives, and social media campaigns focusing on sustainability and affordability.
4. ***Elevator Pitch (6 Marks)***
   "We turn waste into worth! Our eco-friendly cleaning lotion is affordable, safe, and packed in recycled bottles. It cleans your home and helps clean the planet — because hygiene shouldn't harm nature."
   (Award 6 marks for similar pitches that link the problem, solution, and value)
5. ***Communicating Benefits (Max. 6 Marks) (any two points, 3 marks each)***

During a presentation, the points to be highlighted:
Eco-safety: Non-toxic, biodegradable ingredients.
Affordability: Lower cost than branded cleaners.
Environmental impact: Reuse of bottles, less waste.
Clear, persuasive language with key message: "Clean Home, Green Planet."

18. Answer to the questions;

Qn	*Valuation points/Answers*	*Marks*
(a)	Key elements to be emphasised in pitch: Problem: Limited and unreliable lighting for low-income households and small shops due to frequent power cuts. Solution: Versatile, low-cost solar lamp providing continuous light for homes, shops, and outdoor use. Key aspects: Affordability, accessibility, durability, and low carbon footprint.	***3 marks each for two points – problem and solution.***
(b)	Highlighting affordability: Selling price ₹700 — far cheaper than branded or electric lamps. One-time investment; no electricity or frequent replacement cost. Minimal maintenance, only occasional solar panel cleaning. Locally sourced components keep production cost low.	***Any two points – 3 marks each.***
(c)	Showcasing Social Impact: Enables rural students to study and shopkeepers to work after dark. Improves safety, especially for women and children at night. Reduces kerosene usage, lowering indoor pollution and carbon emissions. Promotes renewable energy adoption and eco-friendly rural development.	***Any two points – 3 marks each.***
(d)	Comparing Cost and Selling Price: Cost mainly involves the solar panel and rechargeable battery — both long-lasting. Selling price ₹700 allows small but fair profit while remaining affordable. Shows economic sustainability — low running cost, no fuel, no electricity bills. Builds investor and consumer trust through transparent pricing.	***Any two points – 3 marks each.***
(e)	Explaining Scalability: Product can expand to nearby districts and other low-income regions. Potential tie-ups with NGOs, rural retailers, and government energy missions. Standardised model enables mass production at lower unit cost. Adds long-term credibility by showing how the idea can grow sustainably while maintaining low cost and low carbon footprint.	***Any two points – 3 marks each.***

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